



SONASELECTION INDIA LIMITED

CIN : U17299RJ2022PLC079631

GSTIN.: 08ABHCS8575K1ZI

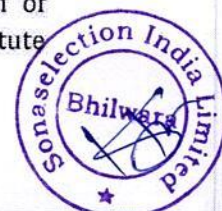
CERTIFIED TRUE COPY OF THE RESOLUTION PASSED AT THE MEETING OF THE AUDIT COMMITTEE OF M/S SONASELECTION INDIA LIMITED, HELD ON MONDAY, 07TH SEPTEMBER, 2026 AT 12:30 P.M. AT THE REGISTERED OFFICE OF THE COMPANY SITUATED AT 18TH KM STONE, CHITTORGARH ROAD, HAMIRGARH, BHILWARA, RAJASTHAN, INDIA, 311025.

APPROVAL OF KEY PERFORMANCE INDICATORS BY THE AUDIT COMMITTEE

The Audit Committee was informed that in connection with the proposed initial public offering of equity shares of the Company of face value of ₹ 10 each (the "**Equity Shares**"), the Company has filed the draft red herring prospectus dated December 11, 2025 with SEBI and Stock Exchanges and is in the process of filing the red herring prospectus ("**RHP**") with the Securities and Exchange Board of India ("**SEBI**") and will subsequently file the red herring prospectus and prospectus with the Registrar of Companies, Jaipur at Rajasthan ("**RoC**"), SEBI and relevant stock exchange(s) (the "**Issue Documents**").

The Audit Committee was apprised that the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018 (the "**SEBI ICDR Regulations**") read with the SEBI circular bearing reference SEBI/HO/CFD/CFD-PoD-2/P/CIR/2025/28, titled "*Industry Standards on Key Performance Indicators ("**KPIs**") Disclosures in the draft Offer Document and Offer Documents*" dated February 28, 2025 ("**KPI Circular**") requires the Audit Committee to approve the key performance indicators relating to the Company and proposed to be disclosed in the Issue Documents.

The Audit Committee was apprised that the KPI Circular provides the principles and processes for the selection of key performance indicators, i.e., key numerical measures of the Company's historical financial and/or operational performance, which the management of the Company evaluates and tracks to monitor the performance of the Company and which provides information to investors to make an informed decision with respect to valuation of the Company ("**KPIs**"). The KPI Circular further requires the Audit Committee to (a) approve the key performance indicators relating to the Company and proposed to be disclosed in the Issue Documents to be filed with the Registrar of Companies, Jaipur at Rajasthan, SEBI and the stock exchanges where the Equity Shares are proposed to be listed, (b) confirm that verified and audited details for all the KPIs pertaining to the Company that have been disclosed to investors at any point of time during the three years period prior to the date of filing of the RHP are proposed to be disclosed under the "*Basis for Issue Price*" and "*Our Business*" chapters of the Issue Documents, (c) confirm that the KPIs as set out in the Issue Documents shall continue to be disclosed by the Company post listing, in accordance with Paragraph (9)(K)(3)(i) under Part A, Schedule VI and other applicable provisions of the SEBI ICDR Regulations, and (d) confirm that the KPIs disclosed in the Issue Documents are certified by the statutory auditor(s) or Chartered Accountants or firm of Chartered Accountants, holding a valid certificate issued by the Peer Review Board of the Institute of Chartered Accountants of India or by Cost Accountants.



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The Audit Committee was further informed that the aforementioned requirements pursuant to the SEBI ICDR Regulations and the KPI Circular are evolving and may have to be revisited on the basis of feedback received from any regulatory authority.

The Audit Committee has conducted detailed deliberations with the management on the information presented in (a) to (e) above and the management has taken note of the suggestions of the Audit Committee for alterations, deletions and additions.

The Audit Committee also noted that the KPIs as set in the sections titled "*Basis for Issue Price*" and "*Our Business*" in the Issue Document shall continue to be disclosed by the Company post listing, in accordance with Paragraph (9)(K)(3)(i) under Part A, Schedule VI and other applicable provisions of the SEBI ICDR Regulations.

The Annexure A to Annexure E are attached herewith as under –

- 1) Annexure A : List of Selected Data Compiled by Management
- 2) Annexure B : List of Key performance Indicators
- 3) Annexure C: Details of Key performance Indicators ("KPI")

The Audit Committee also took note of the certificate issued by the statutory auditors, Chartered Accountants dated September 07, 2026 in relation to the KPIs, verifying the details of the KPIs included in **Annexure C**. It was noted by the Audit Committee that no other KPIs pertaining to the Company, other than as included in **Annexure C**, are proposed to be included in the Issue Documents, and have been disclosed to earlier investors of the Company at any point of time during the three years period preceding the date of filing the RHP.

Pursuant to discussions between the members of the Audit Committee, the following resolutions were unanimously approved:

"RESOLVED THAT, as per the requirements of the SEBI ICDR Regulations and the KPI Circular, the KPIs set out in Annexure B are hereby noted and approved, and the approval of the Audit Committee is hereby accorded to disclose such KPIs in the "*Basis for Issue Price*" and "*Our Business*" sections of the Issue Documents as set out in Annexure C.

"RESOLVED FURTHER THAT, in accordance with the applicable provisions of SEBI ICDR Regulations and other applicable laws, the Committee confirms that all the KPIs pertaining to the Company that (a) have been used historically to analyse, track or monitor the operational and/or financial performance of the Company, or (b) have been disclosed to investors, at any point of time during the three-year period preceding the date of filing of the RHP, are disclosed in the draft of the "*Basis for Issue Price*" chapter of the RHP placed before the Committee and such information has been have been verified and audited by Mr. Sumit Bumb, Pokharna Somani & Associates, Chartered Accountants in accordance with SEBI ICDR Regulations pursuant to their certificate dated September 07, 2026 and will be disclosed in the "*Basis for Issue Price*" section of the Issue Documents. It is also noted that details of the executed copy of such certificate will be mentioned



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in the 'Basis for Issue Price' section of the RHP and will be included as part of "Material Contracts and Documents for Inspection" section of the red herring prospectus. The Audit Committee also confirmed that KPIs disclosed under "Basis for Issue Price" section of the RHP have been verified and audited, in accordance with applicable laws and auditing procedures, including the SEBI ICDR Regulations and KPI Circular".

"RESOLVED FURTHER THAT, the Audit Committee notes that the KPIs as set out in the draft of the "Basis for Issue Price" chapter of the RHP placed before the Committee, and a list of the same, as appearing in Annexure B, shall be disclosed, post-listing of the Equity Shares on the Stock Exchanges, in accordance with Paragraph (9)(K)(3)(i) as prescribed under Part A, Schedule VI of the SEBI ICDR Regulations."

"RESOLVED FURTHER THAT, the Audit Committee in consultation with the management of the Company and book running lead manager to the Issue may update and approve any further changes of the KPIs approved by this resolution, from time to time, basis, inter alia, regulatory feedback and changes in applicable law."

"RESOLVED FURTHER THAT Mr. Harshil Nuwal, Managing Director of the Company be and are hereby severally authorised to do all such acts, deeds, matters and things as deemed necessary, proper or desirable, and to settle to give effect to the above resolution or give instructions and directions for settling any questions, difficulties or doubts that may arise in this regard and to give effect to such modifications, changes, variations, alterations, deletions or additions as may be deemed fit and proper in the best interests of the Company."

"RESOLVED FURTHER THAT, a copy of the above resolution, certified to be true by any Director of the Company or, Company Secretary and Compliance Officer of the Company be forwarded to the concerned authorities for necessary action."

//Certified True Copy//

For SONASELECTION INDIA LIMITED

Kanhaiya Lal Acharya
Chairman of Audit Committee ★
DIN: 10048774





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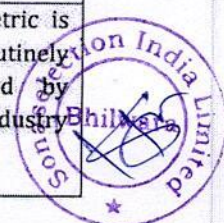
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ANNEXURE A

Selected Data identified based on process set out in Requirement under SEBI Circular on KPIs and Schedule I

Sr. No.	Metric	Whether KPI or not	If not a KPI		
			Rationale for exclusion as KPIs	Section of the Issue Document where the disclosure of metric (not considered as KPI) is included	Confirmation that the said metric is not being reported by Industry Peers for Selected data that is subsumed within a KPI
Financial measures that are required to be mandatorily disclosed in the Issue Document as per the Securities And Exchange Board Of India (Issue Of Capital And Disclosure Requirements) Regulations, 2018					
1	Earnings per share (Basic and Diluted)	No	Covered as a part of Profit after tax. It is not an operational or financial performance metric and not reported as a KPI across the Industry.	Summary of the Issue Document and other relevant sections	The metric is not routinely disclosed by the Industry peers.
2	Return on net worth	Yes	NA	NA	NA
3	Net Asset Value per share	No	It is not an operational or financial performance metric and not reported as a KPI across the Industry.	Summary of the Issue Document and other relevant sections	The metric is not routinely disclosed by the Industry peers.
4	EBITDA	Yes	NA	NA	NA
5	Share Capital	No	It is not an operational or financial performance metric and not reported as a KPI across the Industry.	Summary of the Issue Document and other	The metric is not routinely disclosed by the Industry peers.



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				relevant sections	
6	Net Worth	Yes	NA	NA	NA
7	Revenue	Yes	NA	NA	NA
8	Profit after Tax	Yes	NA	NA	NA
9	Total Borrowings	No	Covered as a part of Total debt	Summary of the Issue Document and other relevant sections	NA
Data points discussed in the board meeting of our Company which meets on a quarterly basis held during the three years prior to the date of filing of the Issue Document have been considered					
1	Revenue from Top 3, 5 and 10 customers	No	It is not an operational or financial performance metric and not reported as a KPI across the Industry.	Business	The metric is not routinely disclosed by the Industry peers
2	Revenue from business verticals	No	It is not an operational or financial performance metric and not reported as a KPI across the Industry.	Business	The metric is not routinely disclosed by the Industry peers
3	Revenue from customers comprising Government and Enterprises	No	It is not an operational or financial performance metric and not reported as a KPI across the Industry.	Business	The metric is not routinely disclosed by the Industry peers
Data points disclosed to investor as part of information rights during the three years prior to the date of filing of the Issue Document have been considered					
1	NA	NA	NA	NA	NA
Additional KPIs that have been considered by the management of the Issuer Company to arrive at the basis for the Issue price					
NA					



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Other Information relating to our business and financial operations disclosed in the RHP					
1	Revenue from operations	Yes	NA	NA	NA
2	Revenue from bifurcation between domestic and exports	No	It is not an operational or financial performance metric and not reported as a KPI across the Industry.	Risk Factor	The metric is not routinely disclosed by the Industry peers
3	Order book bifurcation between customers comprising Government & Enterprise	No	It is not an operational or financial performance metric and not reported as a KPI across the Industry.	Risk Factor	The metric is not routinely disclosed by the Industry peers
4	Order book bifurcation between business verticals	No	It is not an operational or financial performance metric and not reported as a KPI across the Industry.	Risk Factor	The metric is not routinely disclosed by the Industry peers
5	Total number of employees	No	It is a factual data point of the company. This metric is not disclosed as a KPI across the Industry.	Business	The metric is not routinely disclosed by the Industry peers

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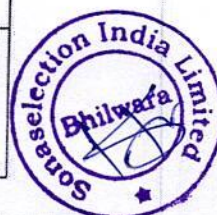
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Annexure B

The list of our KPIs along with brief explanation of the relevance of the KPI for our business operations are set forth below:

KPIs	Explanations
Financial KPIs	
Revenue from Operations (₹ in million)	Revenue from Operations is used by our management to track the revenue profile of our business and in turn helps assess the overall financial performance of our Company and size of our business.
EBITDA (₹ in million)	EBITDA provides information regarding the operational efficiency of our business.
EBITDA Margin (in %)	EBITDA Margin is an indicator of the operational profitability and financial performance of our business.
Net Profit after tax (₹ in million)	Net Profit after tax provides information regarding the overall profitability of our business.
Net Profit Margin (in %)	Net Profit Margin is an indicator of the overall profitability and financial performance of our business.
Return on Net Worth (in %)	Return on Net Worth provides how efficiently our Company generates profits from shareholders' funds.
Return on Capital Employed (in %)	Return on Capital Employed provides how efficiently our Company generates earnings from the capital employed in our business.
Debt-Equity Ratio (in times)	Debt-equity ratio is a gearing ratio which compares shareholder's equity to company debt to assess our company's amount of leverage and financial stability.
Days Working Capital (in days)	Days working capital is a metric that measures how many days it takes our company to transform its working capital into sales cash flows.
Debt Service Coverage Ratio (in times)	Debt Service Coverage Ratio is calculated as the sum of (i) earnings available for debt-service, i.e., the profit after tax, (ii) depreciation, (iii) interest divided by sum of (i) interest and (ii)



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	principal repayment during the year
Operational KPIs	
Sale of Services (in %)	Sale of Services (in %) is used by our management to track the share of revenue derived from services.
Sale of Goods (in %)	Sale of Goods (in %) is used by our management to track the share of revenue derived from products sold.
Inventory Days (in days)	Inventory days is an indicator of efficiency of inventory management by the company.
Debtors Days (in days)	Debtor days indicates how efficiently the company is managing its debtors.





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Annexure C

Details of our KPIs for the Fiscals 2026, 2025, and 2024, are set out below:

A list of our KPIs for Fiscal 2026, Fiscals 2025 and Fiscal 2024 is set out below:

Key Performance Indicators (KPIs)	Unit	Fiscal 2026	Fiscal 2025	Fiscal 2024
FINANCIAL KPIs				
Revenue from Operations ⁽¹⁾	₹ in million	5,169.49	3,159.52	1,209.79
EBITDA ⁽²⁾	₹ in million	847.74	581.19	284.87
EBITDA Margin ⁽³⁾	in %	16.40%	18.39%	23.55%
Net Profit after tax ⁽⁴⁾	₹ in million	340.23	185.63	130.95
Net Profit Margin ⁽⁵⁾	in %	6.58%	5.88%	10.82%
Return on Net Worth ⁽⁶⁾	in %	39.05	34.08%	40.46%
Return on Capital Employed ⁽⁷⁾	in %	19.69%	16.97%	16.18%
Debt-Equity Ratio ⁽⁸⁾	in times	2.48	2.96	3.72
Debt Service Coverage Ratio ⁽⁹⁾	in times	1.70	1.58	1.81
OPERATIONAL KPIs				
Sale of Services ⁽¹⁰⁾	in %	17.30%	30.12%	88.72%
Sale of Goods ⁽¹¹⁾	in %	82.70%	69.88%	11.28%
Days Working Capital ⁽¹²⁾	in days	134	122	104
Inventory Days ⁽¹³⁾	in days	150	115	127
Debtors Days ⁽¹⁴⁾	in days	61	48	44
Creditors Days ⁽¹⁵⁾	in days	79	57	54

As certified by our Statutory Auditors vide their certificate dated September 07, 2026.

Notes:

- (1) Revenue from operations means the Revenue from Operations as appearing in the Restated Consolidated Financial Information.



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- (2) EBITDA means Earnings before interest, taxes, depreciation and amortization expense, which has been arrived at by obtaining the profit/ (loss) before exceptional items and tax for the fiscal and adding back finance costs and depreciation and amortization expenses.
- (3) EBITDA margin is calculated as EBITDA as a percentage of revenue from operations.
- (4) Net Profit after tax represents the restated profits of our Company after deducting all expenses.
- (5) Net Profit margin is calculated as restated net profit after tax for the fiscal divided by revenue from operations.
- (6) Return on Net Worth is calculated as Net Profit after tax as restated for the end of the fiscal divided by Average Net worth as at the end of the fiscal. Average net worth means the average of the net worth of current and previous fiscal. Net worth means the aggregate value of the paid-up share capital and other equity.
- (7) Return on capital employed is calculated as Earnings before interest and taxes divided by average capital employed (average capital employed is calculated as average of the total equity, total borrowings and deferred tax liabilities (net of deferred tax assets) of the current and previous fiscal.
- (8) Debt-equity ratio is calculated by dividing total debt by total equity. Total debt represents long term and short-term borrowings. Total equity includes the aggregate value of the paid-up share capital and other equity.
- (9) Debt Service Coverage Ratio is calculated as the sum of (i) earnings available for debt-service, i.e., the profit after tax, (ii) depreciation, (iii) interest divided by sum of (i) interest and (ii) principal repayment during the year.
- (10) Sale of Services is calculated as revenue from sale of services as appearing in the Restated Consolidated Financial Information, divided by the total revenue from operations.
- (11) Sale of Goods is calculated as revenue from sale of goods as appearing in the Restated Consolidated Financial Information, divided by the total revenue from operations.
- (12) Days Working Capital is arrived at by dividing working capital (current assets excluding cash and cash equivalents and bank balances less current liabilities excluding short term borrowings) by revenue from operations multiplied by the number of days in the fiscal (365).
- (13) Inventory Days = Number of days during the fiscal (365)/ (Cost of Goods Sold/average Inventory at the beginning and end of the Fiscal).
- (14) Debtor Days = Number of days during the fiscal (365)/ (Revenue from Operations/average Trade Receivables at the beginning and end of the Fiscal).
- (15) Creditor Days = Number of days during the fiscal (365)/ (Net Purchases /average Trade Payables at the beginning and end of the Fiscal).



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